Aurifex

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Part 1: Complete Canvas



Value Proposition

Using open-source design software, large language and generative CAD modeling to reduce the difficulty of making custom jewelry models through a platform that connects buyers to manufacturers.

- Buyers and small-to-mid size jewelers can quickly generate and iterate on a CAD design via text, aligned with their preferences
  - This design can quickly be refined by verified jewelry manufacturers who want to submit a quote for the piece.
  - Buyers can choose the best deal (RFQ) which aligns with their preferences and budget.
- Jewelers, designers and superusers can save time and generate higher quality CAD designs.
  - Jewelry designers who utilize the full scope of the generative design tool can access GPUs in the cloud and make manual edits through design iterations that are more closely aligned with customer preferences.
  - The remaining steps are identical to the above flow.
- Manufacturers can find additional work through RFQ's after being verified on the platform, providing an estimated cost, final design and specifications of the jewelry piece and being accepted by the buyer.
  - This helps to drive profitability of jewelry manufacturers, especially their custom jewelry segments which historically take a lot of manual effort to conceive.
- All models are trained on non-IP, with the option of any generated design being protected by IP.
- Loosening the affordability and quality constraints of the jewelry buying experience.



Customer Segments

- **Jewelers & Jewelry Designers**
  - (Small-to-Mid Size Jewelers) Who don't have access to high compute or GPU
  - (Small-to-Mid Size Jewelers) Who don't have a very well established network of verified manufacturers.
  - Who have a design department that needs to be less of a cost center.
  - Who need to reduce the time to manufacturing
  - Who value quality, custom jewelry which meets the needs and preferences of their customers.
  - Who may have a high budget for a piece but want to know they are getting a fair deal.
  - Who value multiple manufacturing options to choose from.

- **D2C Jewelry Buyers**
  - Who need an easy way to design jewelry
  - Who will not often design jewelry themselves
  - Who value quality, custom jewelry which meets their preferences and design choices
  - Who may have a high budget for a piece but want to know they are getting a fair deal.
  - Who do not have a very well established network of verified jewelers.
  - Who value multiple manufacturing options to choose from.

- **Jewelry Manufacturers**
  - Who are looking for custom jewelry leads to drive overall profitability.
  - (Optional) Who have a design department that needs to be less of a cost center.



Revenue Segments

- **Software License (Full Design Software)**
  - One-time annual licence of $5k+
  - Locally running software
  - limited design catalogue for AI
  - Requires powerful computer

- **Software Subscription (Full Design Software)**
  - Cloud subscription of $8K+ annually
  - Runs on cloud GPU’s
  - Receives constant updates and designs

- **Support Contracts (Design Software)**
  - Design support engineer
  - Tech support engineer

- **Monthly Subscription Fee (Platform, Non-Design)**
  - Monthly fee for superusers, jewelers and manufacturers based on usage and premium functionality.

- **Sponsored Manufacturer Fee (Platform)**
  - Fee for manufacturers to show up as sponsored when buyers and jewelers are reviewing RFQs.



Customer Relationships

- **Jewelers**
  - **Relationship:** Have an account manager continue and trustworthy relationship with each jeweler to continue using and supporting the software.
  - **Established:** None
  - **Integration with business model:** From sales desk side of the business to the design and manufacturing. Multiple touchpoints will be needed with this software.
  - **How costly:** $$

- **D2C Jewelry Buyers**
  - **Relationship:** Have an signup page on the website offering $700+ /month service that fits into the annual subscription fee.
  - **Established:** None
  - **Integration with business model:** A singular access point to design custom jewelry using AI.
  - **How costly:** $

- **Jewelry Manufacturers**
  - **Relationship:** Have an account manager continue and trustworthy relationship with each manufacturer to continue using and supporting the software.
  - **Established:** None
  - **Integration with business model:** A manufacturer will need a design to production timeline and pipeline established with this software.
  - **How costly:** $$$

Channels



- **Through which Channels do our Customer Segments want to be reached?**
  - D2C online through our website
    - Targeted for D2C jewelry buyers
  - SaaS for B2B clients via account manager
    - Targeted for jewelers and manufacturers
  - On Premise software licensing B2B with account executive
    - Targeted for jewelers and manufacturers
- **How are we reaching them now?**
  - Website, Follow-Up Calls, Local Networking & Social Media (e.g. Instagram, LinkedIn)
- **How are our Channels integrated?**
  - HubSpot
- **Which ones work best?**
  - Websites, LinkedIn follow-up calls work best for manufacturers as they are often international.
  - Websites, follow-up calls, LinkedIn and local networking work best for jewelers depending on scale.
  - Other social media platforms work best for D2C.
- **Which ones are most cost-efficient?**
  - Social media-driven outreach is most cost-efficient as it requires the least amount of time per outreach point.
- **How are we integrating them with customer routines?**
  - Automated engagement via HubSpot; consistency in social media outreach routines to distinct user segments/platforms; outreach cadence of account managers and executives to build trusted relationships over time; on-premise support and training to the largest accounts



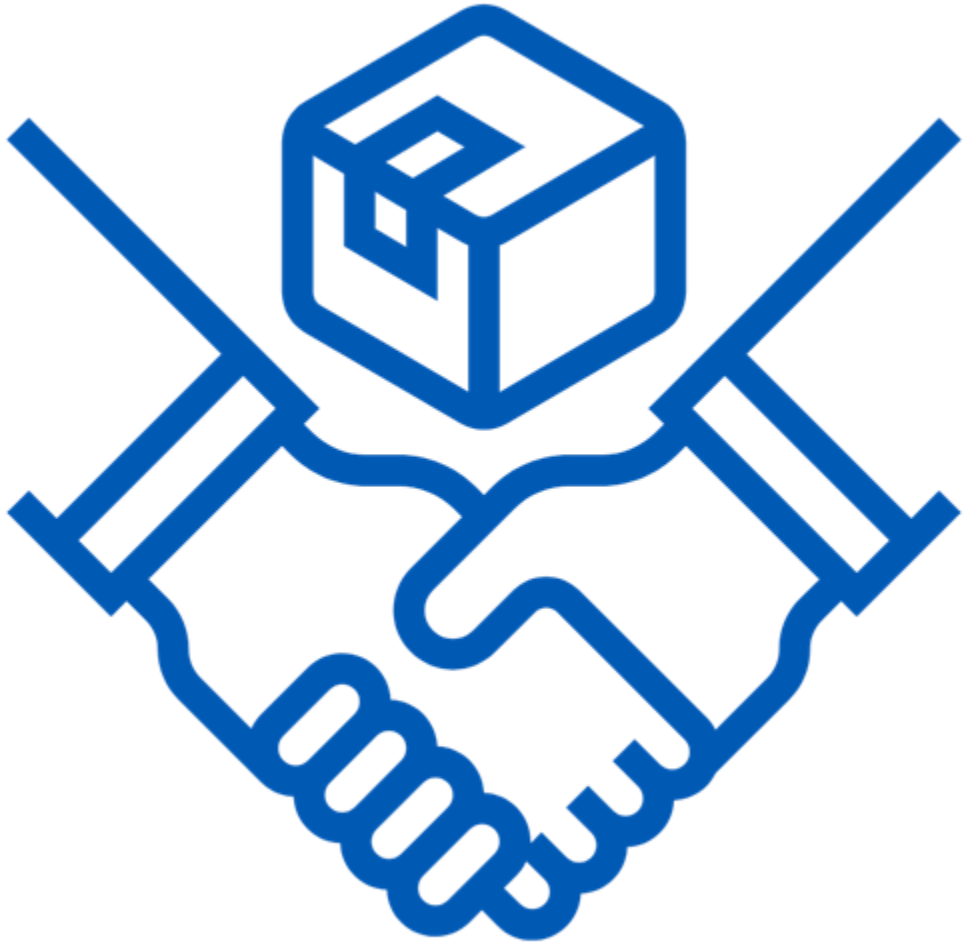
Key Activities

- **What Key Activities do our Value Propositions require?**
  - **Development:** Our AI solution requires continuous development of advanced design algorithms.
  - **Surveys:** We would need customer testimonials in order to sell the software.
  - **Demos:** Demonstrations of time-to-value would help close deals with manufactured products from our AI designs.
- **Our Distribution Channels?**
  - **Website Dev:** For B2C we need a website and social media presence.
  - **Manage CRM:** For B2B we need partnerships with cloud providers, account management, and a CRM system to account for customer relationships.
- **Customer Relationships?**
  - **Account Management:** We need to keep in touch with our B2B customers.
  - **Feedback analysis:** We need to analyze the requests of our B2C customers.
  - **Support and incidents:** We need to have a place to log issues and resolve them in time for our clients.
- **Revenue streams?**
  - **Bank account management:** We need treasury services to manage incoming revenue.
  - **Accounting:** We can start with a cash based accounting system.
  - **Profitability:** We need to make quick decisions on how much capital to put toward B2B or B2C so analyzing profitability is critical.



Key Resources

- To ensure fast CAD design generation, high-quality software capable of accessing cloud-based GPUs will be essential. We will need to hire software engineers with the necessary skills and experience. Additionally, appropriate intellectual property measures must be established for designers who want to maintain high standards for their designs.
- Distribution channels will require resources for SEO, social media marketing, and analytics tools to measure performance.
- Customer relationship will need to be managed and enhanced with customer support through our account managers and tracked with retention rate.
- For revenue streams, payment processing system with secure gateways will need to be set up to facilitate transactions. Additionally, resources to create and manage subscription services will need to be set up that provide recurring revenue.



Key Partner

- **Key Partners & Responsibilities:**
  - Jewelry Manufacturers: Provide 3D jewelry printing services and internal expertise to support in product development
  - Cloud Provider: Provide exclusive access to models, internal expertise and credits to support in product development
  - Open Source Software Providers: Provide unlevered access and development support to open source software the platform is build from
  - Marketers: Drive platform engagement and users
  - Networkers: Drive and maintain high-value connections to jewelry manufacturers, jewelers and key partners
- **Key Suppliers & Resources:**
  - Cloud Providers: Compute and GPU capabilities
  - Open Source Software Providers: Open source software (e.g. Rhino design software)
  - Marketers: Vetted marketing strategies and networks with jewelry buyers, jewelers and manufacturers
  - Networkers: Established network with jewelry manufacturers, jewelers and key partners.



Cost Structures

- **What are the most important costs inherent in our business model?**
  - **AI Development and Maintenance**: Continuous updates to the generative design algorithms, data management, and machine learning improvements for personalized designs are critical, requiring significant investment in both tech infrastructure and skilled labor.
  - **Customer Acquisition and Marketing**: Both B2B and D2C segments need robust marketing efforts, including targeted digital ads, account management, and customer support, which add to overhead.
  - **Account Management for B2B**: Dedicated account managers to maintain close relationships with jewelers and manufacturers drive recurring costs.
  - **On-Premise Support for Manufacturers**: Implementing and maintaining on-premise solutions for large B2B clients requires setup, training, and ongoing support costs.
- **Which Key Resources are most expensive?**
  - **AI and Design Engineers**: Highly specialized talent is essential for the development and customization of AI-powered design features, which are fundamental to our value proposition.
  - **Cloud Computing Infrastructure**: Hosting AI operations, running design models, and storing data securely require scalable cloud resources.
  - **Account Management Team**: Skilled account managers who can foster long-term, trust-based relationships with jewelers and manufacturers add to fixed costs but are vital to B2B success.
- **Which Key Activities are most expensive?**
  - **Algorithm Training and Model Updates**: Training and optimizing generative models to create high-quality, unique designs is resource-intensive.
  - **Sales and Customer Support**: Outreach and ongoing support for B2B clients require consistent follow-ups, training, and relationship-building efforts.
  - **Content Creation for Marketing**: Custom visual content and advertisements to attract D2C clients require graphic design and marketing expertise, increasing content production costs.
- **The marginal cost:** per design includes cloud processing costs, which fluctuate based on the complexity of each unique design generated. These costs are offset by the subscription model in the D2C channel and custom pricing for B2B.
- **The marginal revenue:** from subscriptions (for D2C clients) should exceed the variable costs per design to ensure profitability. For instance, each subscription should ideally cover not just the marginal cost of each design but also contribute to fixed costs like R&D and marketing.

Part 2: Top 2 Priorities

Top 2 Priorities

Customer Segments

- We believe there are more segments than we are aware of
- Some segments may warrant more emphasis than others, depending on the side of the network

Key Resources

- We want to investigate patents and intellectual property.
- We want to see the overlap with the customer segments.
- What are the data governance requirements?
- How does AI generated content work with IP laws?

Plan to Validate Top 2 Priorities

- **Customer Segments**
  - Research competition and their targeted segments (e.g. MatrixGold, Rhino 3D, JewelCAD, Blender)
    - Are there any jewelry platforms which incorporate design tooling and/or cloud services?

- **Key Resources**
  - Research IP laws on AI generated content
  - Research competitors and how they handle data governance and design IP
  - Research open-source CAD model datasets, software licensing and the surrounding legality

Anticipated Result of Plan to Validate

- **Customer Segments**
  - Develop a relevant market map and attributes for both sides of the network
  - Develop a full list of user segments, relevance to the network and overall priority in terms of product development and outreach

- **Key Resources**
  - Develop a good understanding of the legality surrounding AI-generated CAD designs and how competitors are incorporating this into their business model (e.g. data governance)
  - Develop a data governance, model training, design IP (AI generated CAD models), and open source software strategy which aligns with the relevant laws